Downward Breakouts

Reversal or continuation	Short-term bearish reversal
Performance rank	18 out of 36
Breakeven failure rate	23%
Average drop	15%
Volume trend	Upward
Pullbacks	69%
Percentage meeting price target	51%

The right-angled and descending broadening formation's name is a mouthful, but it describes a pattern with a flat top and price following a down-sloping trend along the bottom.

The performance rank places it in the middle of the chart patterns I studied. The pattern favors an upward breakout almost twice as often as a downward one.

The above Results Snapshot shows performance about what you would expect from a mid-list performer. Nothing appears that would blow the roof off the house. Volume trends upward throughout the pattern and that is unusual.

Let's take a scenic tour of the pattern.

Tour

What do descending broadening patterns look like, and why do they form? **Figure 10.1** shows an example of the chart pattern I caught back in the 1990s. There are the two key ingredients to this broadening pattern. First, price at the top of the pattern reaches the same level (or nearly the same) for several weeks. A trendline drawn atop the pattern's peaks forms a horizontal line.

Second, the minor lows touch and follow a down-sloping trendline as price drops. Eventually, price breaks out of the pattern by closing either above the top trendline or below the bottom one.